

The Southern Company (NYSE: SO)

A durable regulated-utility franchise entering its strongest load-growth cycle in decades. Data centers and Southeastern population growth support an unusually strong rate-base runway, but an \$81 billion construction plan, elevated leverage and a premium valuation make execution and regulatory protection decisive.

Report date: July 12, 2026 | Market data: July 10, 2026 close | Financials through Q1 2026 | Portfolio context: 377 shares

Portfolio conclusion

HOLD - Do not materially add near \$96

Core regulated-utility income remains sound, but premium valuation and your combined employment, pension and stock exposure argue against increasing concentration.

Executive view

PRICE

\$95.61

July 10 close

MARKET CAP / EV

**\$107.8B /
\$182.8B**

Debt-heavy utility structure

2026 EPS GUIDE

\$4.50-\$4.60

~21x midpoint

DIVIDEND / YIELD

**\$3.04 /
3.18%**

Quarterly rate: \$0.76

- Monopoly service territories with constructive regulation and a large, growing Southeastern customer base.
- Management now targets approximately 8% annual adjusted EPS growth through 2030-well above SO's historical utility profile.
- Ten gigawatts of contracted large load and strong data-center interest provide a visible investment runway.
- Vogtle Units 3 and 4 are operating, moving the thesis from construction risk toward rate-base monetization.
- Dividend record spans more than seven decades without a reduction.

- The stock trades near 21x 2026 adjusted EPS versus a more typical high-teens utility multiple.
- The \$81B 2026-30 capital plan requires heavy debt and equity funding; consolidated free cash flow will remain negative.
- Ratepayer and political resistance could intensify if data-center buildout raises residential bills.
- Your job, pension and SO shares create correlated employer exposure that the dividend yield does not diversify.

Portfolio verdict

HOLD · Do not materially add near \$96

Your 377 shares are worth approximately \$36,045 and generate about \$1,146 per year at the current dividend. With a very low historical cost basis and a roughly 1-2% portfolio weight, the position remains reasonable as a defensive income anchor. However, because your employment and pension are also tied to Southern Company, additions should be held to a higher standard than for an unrelated utility. Reinvesting dividends is defensible; directing significant new cash to SO at today's valuation is not the best risk-adjusted use of capital.

History, segments and business model

Southern Company was formed in 1945 as a holding company for regulated electric utilities in the Southeast. Today it combines vertically integrated electric utilities, a competitive wholesale generation portfolio and a major natural-gas distribution platform created through the 2016 acquisition of AGL Resources. Its core electric subsidiaries are Alabama Power, Georgia Power and Mississippi Power.

Business segments

Georgia Power Alabama Power Mississippi Power Southern Power Southern Company Gas Telecom & distributed energy

- Traditional electric utilities: generation, transmission and distribution under state regulation.
- Southern Power: long-term contracted wholesale generation, including gas, wind, solar and storage.
- Southern Company Gas: regulated gas distribution plus pipeline interests and gas marketing.

How it earns money

Regulators authorize rates designed to recover prudent operating costs, depreciation, fuel and taxes while providing a return on the equity invested in rate base. Growth therefore comes mainly from investing capital, receiving regulatory approval and earning the allowed return. Southern Power adds contracted wholesale cash flows; the gas utilities add geographic and fuel diversification.

2025 revenue mix

Revenue source	Revenue	% of total	Investor read-through
Retail electric	\$19.33B	65.4%	Core regulated franchise
Wholesale electric	\$2.94B	10.0%	Utilities plus Southern Power contracts
Other electric	\$0.95B	3.2%	Ancillary electric revenue
Natural gas	\$5.04B	17.1%	Regulated distribution and related services
Other	\$1.28B	4.3%	Telecom and other activities

Total 2025 operating revenue: \$29.553 billion.

Moat and competitive landscape

SO's moat is territorial and financial rather than brand-driven. Its regulated subsidiaries hold exclusive service franchises, own irreplaceable generation and grid assets, and operate within state regulatory frameworks that generally allow recovery of prudent investment.

- Natural monopoly: duplicating power plants, transmission and distribution networks is economically irrational.
- Scale: roughly 8.7 million electric and gas customers and one of the largest U.S. utility systems.
- Regional advantage: population migration, manufacturing reshoring and data-center development in Georgia and Alabama.
- Generation diversity: nuclear, natural gas, coal, hydro, renewables and storage support reliability.
- Financing access: scale and investment-grade subsidiaries lower the cost of funding compared with smaller utilities.

Moat limitations

- The regulator, not SO, ultimately controls allowed returns and recovery timing.
- Large-load customers can demand special contracts and cost protections.
- Political backlash can weaken the regulatory compact when bills rise.
- Distributed generation, storage and efficiency can change long-term load patterns.
- Construction mistakes can lead to disallowances, as the Vogtle and Kemper histories demonstrate.

Peer comparison

Company	Primary exposure	Relative strength	Relative risk
Southern (SO)	Southeast electric + gas	Superior load growth; nuclear fleet; constructive states	Large capex plan and employer concentration for you
Duke Energy (DUK)	Carolinas, Florida, Midwest	Large regulated base and balanced jurisdictions	Lower growth; storm and coal-transition costs
NextEra Energy (NEE)	Florida utility + renewables	Premium growth and renewables development	Higher development/financing sensitivity
Dominion Energy (D)	Virginia and Carolinas	Data-center corridor and simplified regulated model	Execution reset and offshore-wind exposure
American Electric Power (AEP)	Transmission-heavy multi-state	Large transmission runway	More regulatory jurisdictions and execution complexity
Xcel Energy (XEL)	Upper Midwest/Colorado	Clean-energy transition leadership	Wildfire liabilities and less Southeast growth

Market-share conclusion: Market share is not the right competitive metric for a regulated utility-SO's electric utilities effectively hold near-100% share inside their franchise territories. The relevant comparison is jurisdiction quality, load growth, allowed ROE, rate-base growth, customer affordability and execution.

Five-year financial deep dive

Revenue history (\$B)

2021-25 revenue CAGR was approximately 6.3% , though fuel and gas commodity pass-throughs make revenue less useful than adjusted EPS and rate-base growth.

Core metrics

Metric	2021	2022	2023	2024	2025
GAAP EPS	\$2.26	\$3.28	\$3.64	\$4.02	\$3.94
Adjusted EPS	~\$3.41	~\$3.60	~\$3.65	\$4.05	\$4.30
ROE	8.5%	11.6%	12.6%	13.3%	12.1%
ROIC	2.8%	3.5%	3.9%	4.3%	4.4%
Net debt / EBITDA	6.4x	5.6x	5.3x	4.9x	~5.0x

2025 / trailing snapshot

REVENUE \$29.55B +10.6% YoY	EBITDA ~\$14.3B Provider-calculated	OPERATING CASH FLOW \$9.80B Strong cash generation	OWNER EARNINGS ~(\$2.9B) CFO less capex proxy
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Owner-earnings caveat: conventional owner earnings (operating cash flow less capex) is structurally negative during a utility construction cycle. That does not automatically destroy value because prudent investment enters rate base and earns an allowed return. The more useful test is whether new projects receive timely recovery at attractive allowed ROEs without excessive dilution.

Valuation

Metric	Current	Interpretation
2026 P/E	~21.0x	Premium to a normal regulated-utility multiple
EV / EBITDA	~12.7x trailing	Reflects better growth expectations
Price / book	~2.9x	High for a capital-intensive utility
Dividend yield	~3.18%	Below SO's own recent historical yield range
2025 adjusted payout	~69%	Reasonable, but capex is financed externally

Growth drivers and capital allocation

Growth drivers

1. Large-load demand: 10 GW already contracted, with data centers, advanced manufacturing and electrification driving the pipeline.
2. \$81B capital plan: generation, transmission, distribution and gas infrastructure should support roughly 9% rate-base growth.
3. Vogtle monetization: Units 3 and 4 provide carbon-free baseload output and regulated earnings after years of construction drag.
4. Southeastern migration: customer growth and business formation support retail load.
5. Grid scarcity: customers value utilities that can deliver reliable megawatts quickly.
6. Financing support: potential federal loans for Georgia Power and Alabama Power could materially lower customer financing costs.

Capital allocation hierarchy

- Capex dominates: approximately \$81B planned for 2026-30, about half directed toward generation.
- Dividend remains central: 2026 increase to \$0.76 quarterly extended the annual growth record; expect roughly 3-4% dividend growth, slower than EPS while payout moderates.
- External financing is unavoidable: debt, retained earnings and common equity will fund the gap between operating cash flow and construction spending.
- Buybacks are not a priority: utilities issuing capital to fund rate base should not simultaneously repurchase material stock.
- Asset recycling: selective sales or tax-equity structures at Southern Power can reduce funding needs.

Capital-allocation test: the \$81B plan creates value only if regulators protect existing customers from speculative data-center costs, large-load contracts remain firm, and earned ROEs stay near allowed levels. Rate-base growth without per-share growth is not enough.

Five-year outlook: 2026-2030

Management's 2026 adjusted EPS guidance is \$4.50-\$4.60 and its long-term objective is approximately 8% annual growth through 2030. The base case below follows that framework while assuming dividend growth remains more conservative.

Year	Revenue	Adjusted EPS	EPS growth	Dividend/share	Payout	Status
2026	\$30.8B	\$4.55	5.8%	\$3.04	67%	Guide midpoint / current run-rate
2027	\$32.4B	\$4.92	8.1%	\$3.12	63%	Base estimate
2028	\$34.3B	\$5.32	8.1%	\$3.24	61%	Base estimate
2029	\$35.7B	\$5.74	7.9%	\$3.36	59%	Base estimate
2030	\$36.9B	\$6.19	7.8%	\$3.48	56%	Base estimate

2030 scenario valuation

Case	2030 EPS	Exit P/E	2030 price	Approx. annualized return incl. dividends	What happens
Bear	\$5.55	16x	\$89	~2-3%	Load delays, dilution and regulatory pushback
Base	\$6.19	19x	\$118	~7-8%	Plan executes and premium partially normalizes
Bull	\$6.55	21x	\$138	~11-12%	Large loads arrive on time with strong regulatory recovery

The base case is acceptable for a defensive income holding but not compelling enough to justify materially increasing employer-related concentration. A price in the low-to-mid \$80s-roughly 18-19x 2026 EPS and a 3.6%+ yield-would offer a more attractive margin of safety.

Dividend safety

ANNUAL RATE \$3.04 Up from \$2.96	FORWARD YIELD 3.18% At \$95.61	ADJ. PAYOUT ~67% 2026 guide midpoint	YOUR ANNUAL INCOME ~\$1,146 377 shares
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Assessment: Safe with modest growth. The dividend is supported by regulated earnings and a manageable earnings payout ratio. The constraint is not accounting earnings but financing: SO must fund a very large capex program while maintaining credit quality. Expect dividend growth below EPS growth so retained earnings can fund more of the plan. A cut would likely require a severe regulatory or liquidity crisis, not an ordinary recession.

Key risks, red flags and falsifiers

Business and regulatory risks

- Data-center forecast risk: utilities may build assets for loads that are delayed, downsized or never arrive.
- Affordability: residential opposition may grow if households appear to subsidize hyperscalers.
- Construction: schedule and cost overruns can cause disallowances or political intervention.
- Interest rates: higher funding costs pressure customer bills, EPS and valuation.
- Nuclear/coal liabilities: operational, decommissioning, environmental and waste risks remain.
- Storms and wildfire: physical damage and liability can raise costs.

Shareholder-specific risks

- Employer concentration: job, pension and equity value can weaken together under a company-specific stress.
- Valuation compression: a move from 21x to 17x earnings implies meaningful downside even if EPS rises.
- Dilution: common-equity issuance can absorb part of rate-base growth.
- Low free cash flow: capital markets must remain open throughout the buildout.
- NUA complexity: the unusually low cost basis may create a valuable NUA option if shares are employer stock inside the 401(k); this requires individualized tax advice before any rollover or sale.

Thesis breakers: contracted large-load cancellations; earned ROE persistently below allowed ROE; capex rising without proportional EPS growth; FFO-to-debt deterioration or credit downgrades; equity issuance materially above plan; dividend payout moving back above ~80% of adjusted EPS; or regulators shifting data-center stranded costs to existing customers.

What to monitor

KPI	Healthy signal	Warning signal
Adjusted EPS growth	Tracking ~8% through 2030	Repeated guide reductions
Rate-base growth	~9% with timely recovery	Disallowances or regulatory lag
Large-load contracts	10 GW converts to operating load	Delays, cancellations or weaker protections
Earned vs. allowed ROE	Small gap	Persistent under-earning
Funding plan	Credit metrics stable; issuance on plan	Unexpected equity/debt needs
Customer bills	Affordability improves through load sharing	Political backlash and rate freezes
Dividend payout	Gradual decline toward low 60s	Rises despite strong EPS growth

Sources and evidence notes

Primary sources:

- [Southern Company 2025 Annual Report](#)
- [Southern Company Q1 2026 earnings release](#)
- [Southern Company Q1 2026 earnings package](#)
- [Southern Company Q4/FY 2025 earnings release](#)
- [Southern Company Q1 2026 segment disclosure](#)

Market and estimates data: Bigdata.com company tearsheet drawing on FMP for market price, reported financials, ratios and consensus estimates. Capital-plan context was cross-checked against company materials and contemporaneous reporting. Market price and capitalization are as of July 10, 2026.

Evidence confidence: High for reported financials, dividend, guidance and capital plan; medium for long-term revenue estimates and scenario multiples. Underwriting status: Existing-position review. Major assumptions: constructive regulation continues, contracted loads are economically firm, capital markets remain accessible, and management executes its funding plan. Portfolio assumption: 377 shares with a very low historical cost basis and significant employer/pension linkage. This is research, not individualized investment or tax advice.